

on analytics—running a delivery service and cooking good food quickly are very different ball games. While Zomato has fully exited the category, Swiggy still runs plug-and-play kitchen infrastructure vertical Swiggy Access in five cities.

Both Swiggy and Zomato have realised that pure-play food delivery is not going to take them to profitability as the market is going to plateau beyond a point. It's not clear how Zomato is going to integrate Blinkit with it. Running two different platforms for groceries and food is not going to help its cause. Tracking data from two different platforms and making a single consolidated address for every user to derive meaningful insights on time is a herculean task. Both services not placed within the same platform kills cross-selling opportunities.

With Swiggy, on the other hand, it's a unified interface. The company enjoys granular hyperlocal data, gathered and mined for insights from two hugely popular use cases, which gives information on the purchasing power of a locality, eating preferences of a household, shopping practices and more. It helps them decide where exactly to set up dark stores, stock what products at which pin code, and decide what to promote in each micro market. Swiggy may bring many more verticals into the app, thus becoming a super app of hyperlocal deliveries.

CONSOLIDATION IS slowly picking up pace in the segment as insistent discounting and high cost of delivery are putting companies at considerable pressure across the globe. US-headquartered rapid-delivery giant Instacart slashed its valuation by nearly 40 per cent owing to recent market turbulence, while New York-based rapid grocery delivery platform Buyk filed for bankruptcy protection, and Fridge No More, an instant grocery delivery service in the US, shut down its operations permanently.

Closer home, Zepto, the new kid on the block that accelerated the quick commerce game in India, is bearing the brunt of high cash burn. The Mumbai-based company has held acquisition conversations with both Swiggy and Zomato, people in the know told *Business Today*. It last raised \$100 million in December 2021 at a valuation of \$570 million and is now in the process of raising a new round. "Those interactions (with Swiggy and Zomato) were more like a valuation testing game, and investors chose to wait for a larger valuation. They are now seeking a



"Gross-level profitability in grocery can be made very quickly. If any of these players [food delivery firms] are to start making money, grocery will be the reason, not anything else"

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unicorn valuation in the next round, but the times are tough, and it doesn't look like they are getting there. The valuation now being discussed is in the range of \$700-800 million," a person aware of the developments at Zepto told *Business Today*.

The valuation of Zomato itself, now a listed stock, has been on a downward spiral for months after an initial strong show after listing day (see *Dwindling Fortunes*). Its share prices slipped 5 per cent on April 5 to hit an intraday low of ₹82.15 on the BSE after the CCI ruling. On a year-to-date basis as of April 5, the shares have fallen over 38 per cent. "The market has understood that these [new-generation] businesses may grow at high digits, but profitability will revert only in the long term, needing a balance in valuations. The company will have to maintain its high QoQ revenue growth trajectory with focus on generating real profits in the coming years," says Sethumadhavan K.S., Research Analyst at brokerage firm Geojit Financial Services.

Both companies, meanwhile, are deep in the red (see *How the Numbers Stack Up*). It is clear that Swiggy sees its delivery fleet as its main resource and strives to improve its utilisation to bring profitability, while Zomato sees its restaurant network as its main asset and is building products around it to move out of the red. Either way, winning user mindshare—across different products and verticals—is the name of the game as grocery and food services are moving towards convenience. "Food delivery is a cut-throat industry where even the restaurants push back in a big way, there are regulatory challenges and unionisation, besides the obvious economic impracticalities of making large margins," says a global investor, whose company has backed one of these firms. "Finding new adjacent avenues of scale is the only logical way forward." Which is exactly what Swiggy and Zomato are doing. **BT**

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